Pemberton Debt Advisory

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Murray Grains Seasonal Facility

Information Memorandum: A$29.0M Senior Secured Working Capital and Capex Facility

Prepared for prospective senior lenders

Version 1.0, 4 August 2025

Strictly private and confidential

Prepared by Pemberton Debt Advisory

Reference: PDA-IM-2025-0804-MG

Date: 4 August 2025

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Murray Grains Pty Ltd
ABN	59 263 087 938
Registered address	14 Bookpurnong Road, Loxton SA 5333
Ultimate parent	Mallee Agri Holdings Pty Ltd
Sector	Agriculture and agribusiness infrastructure: grain storage and handling
Facility	A$29.0M seasonal working capital and capex facility, 24 months
Date	4 August 2025
Version	1.0
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Transaction details

1. Important notice

This Information Memorandum has been prepared by Pemberton Debt Advisory on behalf of Murray Grains Pty Ltd (the Borrower) for the sole purpose of assisting selected lenders to decide whether to proceed to a formal credit assessment of the facility described below. It is not an offer, a commitment to lend or a recommendation to participate.

The information is drawn from material supplied by the Borrower and its advisers, including management figures for the year ended 30 June 2025 (FY2025). Those figures are unaudited at the date of this document. Audited financial statements, an independent valuation and a quantity surveyor's report are still to be delivered, and the timetable is set out in section 11. Figures that depend on those reports are marked as preliminary. Recipients must conduct their own investigation and analysis, and should not treat this document as a substitute for it.

Pricing and terms are indicative and subject to credit approval, due diligence, satisfactory documentation and the conditions in the term sheet. No representation or warranty is given as to the accuracy or completeness of forward-looking statements.

2. Executive summary

Murray Grains Pty Ltd owns and operates six grain receival, storage and outload sites across the South Australian Riverland and Mallee. Total storage capacity is 640,000 tonnes. In FY2025 the business received approximately 1.15 million tonnes, generating revenue of A$118.4M and EBITDA of A$14.2M, an EBITDA margin of 12.0%. The Borrower owns the freehold at all six sites, and those sites form the principal security.

The Borrower is seeking a A$29.0M senior secured facility with a 24 month tenor, in two tranches:

- Tranche A: A$20.0M revolving working capital tranche to fund grain inventory, seasonal operating costs and grower payments across the 2025/26 and 2026/27 harvests, with an annual 30 day clean down.
- Tranche B: A$9.0M term capex tranche to fund bunker expansion at Pinnaroo and Lameroo, a rail outload upgrade at Karoonda, and automated weighbridge and sampling systems across all sites. The programme adds approximately 60,000 tonnes of capacity, taking the network to about 700,000 tonnes.

The key credit features are summarised below.

- Infrastructure-style earnings: A$61.2M of FY2025 revenue (51.7% of the total) came from receival, storage, outturn and blending fees, which are less exposed to grain price movements than the trading book.
- Moderate leverage: net debt was A$22.8M at 30 June 2025, equal to 1.6x EBITDA, with interest cover of 5.9x on FY2025 interest expense of A$2.4M.
- Hard asset security: freehold at all six sites has a preliminary as-is market value of A$68.5M, giving a loan to value ratio (LVR) of 42.3% on the full A$29.0M commitment.

- Seasonal peak: leverage is expected to rise to approximately 2.4x in the March quarter, when grain is held for sale. This leaves headroom against the proposed 3.0x leverage covenant, but that headroom is narrower than at year end.
- Experienced owner-operator: the Tilbrook family has operated in the sector since 1987 and has grown from a single 20,000 tonne site to a six site network.

3. The facility request

3.1 Indicative terms

Term	Tranche A	Tranche B
Type	Revolving working capital	Term capex
Limit	A$20.0M	A$9.0M
Tenor	24 months	24 months
Purpose	Inventory, operating costs, grower payments	Staged capex programme
Clean down	30 days each year	Not applicable
Drawn margin	3M BBSW + 4.25% p.a.	3M BBSW + 4.25% p.a.
Commitment fee	0.90% p.a. on undrawn	0.90% p.a. on undrawn
Establishment fee	1.50% on total limit	1.50% on total limit

Table 1: Indicative facility terms (subject to credit approval)

The establishment fee of 1.50% on the A$29.0M limit equates to A$0.435M. Tranche B is expected to be drawn in stages against certified progress of works, with drawdown mechanics to be settled in the term sheet. The repayment profile for Tranche B will also be agreed in the term sheet.

3.2 Use of funds

Use	A$M	Share of limit
Tranche A: grain inventory, seasonal costs, grower payments	20.0	69.0%
Tranche B: bunker expansion, rail upgrade, weighbridge and sampling systems	9.0	31.0%
Total facility limit	**29.0**	**100.0%**

Table 2: Facility allocation

The treatment of any existing Borrower debt, including any refinancing or intercreditor arrangements, will be confirmed with interested lenders before the term sheet is finalised. The Facility is proposed to rank as first ranking senior secured debt.

4. Borrower and sponsor

4.1 Corporate structure

Murray Grains Pty Ltd (ABN 59 263 087 938) is wholly owned by Mallee Agri Holdings Pty Ltd, the ultimate parent. Mallee Agri Holdings was established in September 2023 following a family shareholding restructure and is owned by the Tilbrook family and associated entities. The Borrower employs 86 full time equivalent staff.

4.2 History

Date	Event
March 1987	Tilbrook family opens a single 20,000 tonne receival site at Loxton
July 2006	Acquires Pinnaroo and Lameroo sites from a retiring cooperative, extending into the Mallee
February 2014	Acquires Waikerie and Barmera sites, completing the Riverland footprint
November 2019	Commissions Karoonda site, including a rail loading siding
September 2023	Mallee Agri Holdings Pty Ltd established as parent following a family shareholding restructure

Table 3: Corporate milestones

4.3 Board and senior management

- Graham Tilbrook, Managing Director and founding shareholder. Mr Tilbrook leads commercial relationships with growers and traders and has led each site acquisition and development.
- Sandra Kowalczyk, Finance Director and Chief Financial Officer. Ms Kowalczyk is responsible for treasury, financial reporting, lender relations and the grain trading risk framework.
- Ian Rowntree, Independent Non-Executive Chair. Mr Rowntree provides independent oversight of the board.

Halvorsen Brandt Chartered Accountants audit the Borrower. Banksia Corporate Advisory Pty Ltd acts as corporate adviser and Lindqvist Reece Lawyers act as the Borrower's legal counsel.

5. Business overview

5.1 Sites and capacity

The Borrower operates three sites in the Riverland (Loxton, Waikerie and Barmera) and three in the Mallee (Pinnaroo, Lameroo and Karoonda). Storage comprises concrete and steel silos, flat sheds and bunkers, with total capacity of 640,000 tonnes. Karoonda and Pinnaroo have both road and rail outload capability, which allows grain to move to port and domestic buyers without relying only on road haulage. The Riverland sites serve irrigated and dryland growers, while the Mallee sites draw on broadacre cropping.

Peak capacity utilisation was 78% in FY2025, equivalent to about 499,000 tonnes held at the seasonal high. Because grain is received, held and outturned throughout the year, annual receivals of 1.15 million tonnes are well above static capacity.

5.2 Revenue model

The Borrower earns receival, storage, outturn and blending fees from growers and traders. It also runs a smaller trading book in wheat, barley, canola and pulses. FY2025 revenue was A$118.4M, of which A$61.2M came from storage and handling fees. The remaining A$57.2M came from grain trading and other income.

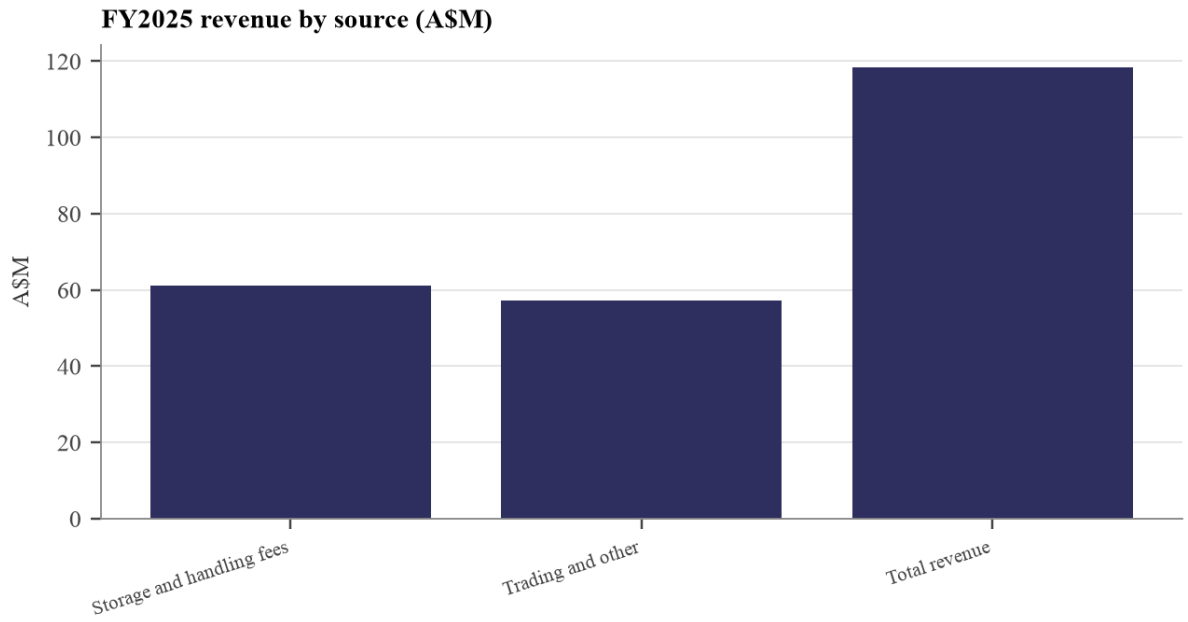


Figure 1: FY2025 revenue composition. Source: Borrower management figures, unaudited.

5.3 Seasonality

Receivals concentrate between November and January. Working capital then peaks in the March quarter, as the Borrower funds grain held for sale and settles grower payments. The annual 30 day clean down on Tranche A is intended to demonstrate that the revolving tranche is used for seasonal needs and not as permanent funding.

6. Security

The principal security is a first registered mortgage over the freehold land and improvements at all six sites, supported by a general security agreement over the Borrower's assets and a guarantee and indemnity from Mallee Agri Holdings Pty Ltd. Security over grain inventory and receivables will be taken under the general security agreement, subject to the treatment of grower-owned grain held in storage, which will be addressed in legal due diligence.

Security metric	Value
Preliminary as-is market value (six sites)	A$68.5M
Facility limit	A$29.0M
LVR on full commitment	42.3%
Valuer	Corrigan Whitlock Valuers Pty Ltd
Formal valuation report due	22 August 2025

Table 4: Security coverage (preliminary)

The A$68.5M value is a preliminary as-is figure and is subject to the formal report from Corrigan Whitlock Valuers Pty Ltd. Lenders should expect the final value, and the basis of value for specialised grain infrastructure, to be confirmed in that report. Aldous Pryce Quantity Surveyors Pty Ltd will review the Tranche B budget and programme, with its report due on 5 September 2025.

7. Financial overview

7.1 FY2025 results and credit metrics

Metric	FY2025
Revenue	A$118.4M
Storage and handling revenue	A$61.2M
EBITDA	A$14.2M
EBITDA margin	12.0%
Interest expense	A$2.4M
Interest cover (EBITDA / interest)	5.9x
Net debt at 30 June 2025	A$22.8M
Net debt / EBITDA	1.6x
Peak seasonal leverage (March quarter)	2.4x

Table 5: Summary financials and credit metrics (management figures, unaudited)

Year end leverage of 1.6x reflects the position after the main harvest has been sold down. Peak seasonal leverage of approximately 2.4x implies peak net debt of roughly A$34M on FY2025 EBITDA. This is the measure that matters for covenant headroom, because it is the point in the year when the balance sheet is most stretched.

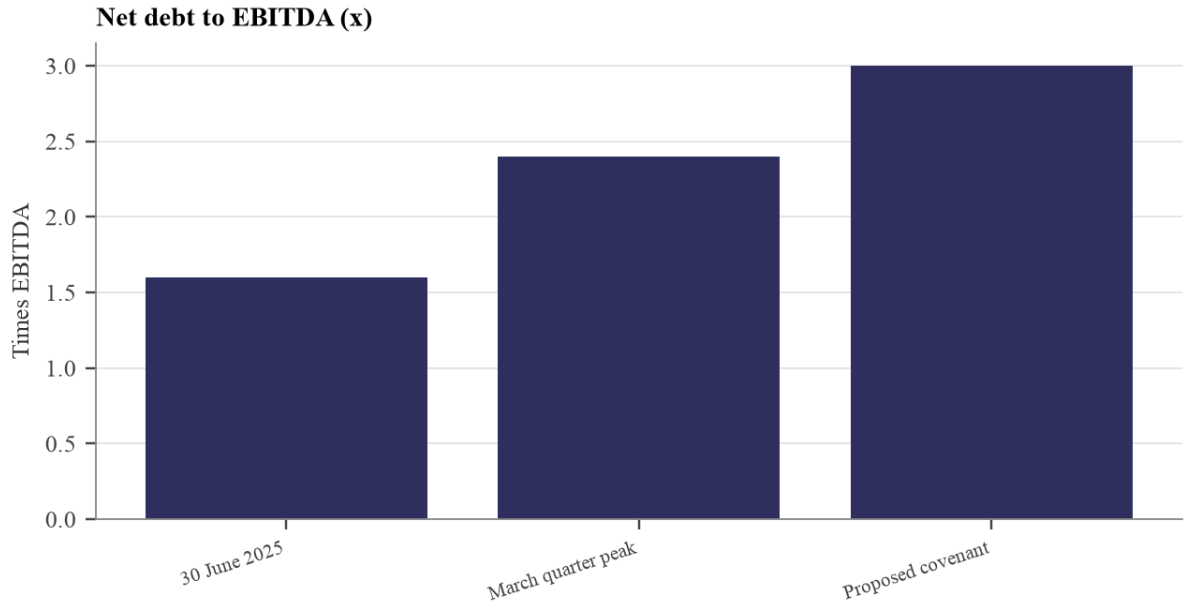


Figure 2: Year end and peak seasonal leverage against the proposed 3.0x covenant.

7.2 Covenant headroom

At peak net debt of about A$34M, leverage would reach 3.0x if EBITDA fell to about A$11.4M, a decline of roughly 20% from the FY2025 level of A$14.2M. A drought or frost year in the Mallee, combined with a weaker trading result, could consume much of that headroom. Lenders should consider this when assessing the covenant package, and the Borrower is open to discussing the testing basis and a seasonal covenant structure.

8. Capital expenditure programme

Tranche B funds a A$9.0M staged programme with three components:

- Bunker expansion at Pinnaroo and Lameroo, adding low cost storage in the Mallee.
- Rail outload upgrade at Karoonda, increasing loading throughput at a site commissioned in 2019 with a rail siding.
- Automated weighbridge and sampling systems at all six sites, to speed up receival, reduce queuing at peak and improve grade segregation.

Together the works add approximately 60,000 tonnes of capacity, an increase of about 9% on the current 640,000 tonnes. Management intends to complete the bunker and rail works before the 2026/27 harvest. Aldous Pryce Quantity Surveyors Pty Ltd will review the budget, contingency, programme and procurement approach, and its findings will inform the Tranche B drawdown conditions.

9. Key risks and mitigants

Risk	Mitigant
Seasonal and weather risk: drought or frost reduces receivals, fee income and grower liquidity	Six sites across two regions, with irrigated Riverland catchments diversifying the Mallee; fee based revenue is 51.7% of the total
Grain price and basis risk on the trading book	Smaller trading book with inventory limits and hedging policy; trading limits to be reported to lenders
Peak leverage of about 2.4x leaves limited headroom against a 3.0x covenant	Annual 30 day clean down; seasonal drawing reports; 42.3% LVR; EBITDA could fall about 20% before breach at peak
Competition from larger bulk handlers and on-farm storage, especially in the Mallee	Rail and road outload at Karoonda and Pinnaroo; capex improves service speed; long grower relationships
Capex execution: works must be complete before the 2026/27 harvest	Independent QS review; staged drawdown against certified progress; contingency requirement
Key person and governance reliance on the Managing Director and a small senior team	Independent Chair; key person undertakings and succession planning to be discussed with lenders

Table 6: Principal risks and proposed mitigants

10. Proposed covenants and undertakings

The following package is proposed by the Borrower for discussion. It is not yet agreed with any lender.

Covenant	Proposed test
Net debt / EBITDA	Not more than 3.0x, tested quarterly on a rolling 12 month basis
Interest cover	To be set in the term sheet at a level consistent with FY2025 cover of 5.9x
Loan to value ratio	To be set in the term sheet against the independent valuation
Annual clean down	Tranche A reduced to nil or an agreed level for 30 days each year

Table 7: Proposed financial covenants

- Quarterly compliance certificates and monthly reporting of inventory, drawings and trading positions during harvest.
- Audited annual accounts within 120 days of year end and an annual budget before each harvest.
- Negative pledge, restrictions on additional debt and limits on distributions to Mallee Agri Holdings while any covenant is under pressure.
- Adequate insurance over all sites, including property, business interruption and grain stocks.

11. Indicative timetable and due diligence

Date	Milestone
4 August 2025	Information Memorandum issued to lenders
22 August 2025	Valuation report, Corrigan Whitlock Valuers Pty Ltd
5 September 2025	Quantity surveyor report, Aldous Pryce Quantity Surveyors Pty Ltd
26 September 2025	Audited FY2025 financial statements, Halvorsen Brandt
17 October 2025	Management accounts for the current year to date
31 October 2025	Term sheet

Table 8: Indicative process timetable

A data room will be made available to lenders that sign a confidentiality undertaking. It will include site title searches, insurance schedules, customer and storage agreement summaries, the trading policy, the capex budget and the draft reports listed above. Site visits to Loxton and one Mallee site can be arranged through Pemberton Debt Advisory.

12. Process and contacts

Lenders wishing to participate should confirm their interest to Pemberton Debt Advisory in writing and sign the confidentiality undertaking. All enquiries must go through Pemberton Debt Advisory. Lenders must not contact the Borrower, its shareholders, employees, customers or advisers directly about this transaction without prior written consent.

Indicative terms will be assessed against credit appetite, security coverage, covenant structure and the ability to meet the timetable in section 11. The Borrower reserves the right to amend the process, the facility structure or the timetable at any time without notice.